1% Increase in allocation for the National Health Mission, from Rs 36,576 crore in 2021-22 to Rs 37,000 crore for 2022-23

NO BOOSTER SHOT FOR HEALTH

Despite the ongoing pandemic and growing healthcare needs, the sector gets little impetus

By AMARNATH K. MENON

Budget 2022-23 had far less money to offer for healthcare than was expected in the face of the onslaught of Covid, which claimed over 200,000 lives in India during the second wave. At Rs 86,200.65 crore, the budget estimate (BE) for FY23 is about Rs 12,000 crore higher than last year's BE of Rs 73,932 crore, but it is just Rs 200 crore more than the revised estimate (RE) for FY22 (Rs 86,000.65 crore). India ranks 179 among 189 countries in priority given to healthcare in government budgets.

On the brighter side, a national telemental health programme will be launched through NIMHANS, Bengaluru. "A national network with 23 centres to provide online mental healthcare is a welcome step considering how the pandemic has triggered a silent global mental health epidemic," says Dr G. Prasad Rao, president, Asian Federation of Psychiatry Associations. To give an impetus to digital health initiatives, including the unique health identity, the National Digital Health Ecosystem will be rolled out as an open platform. It will have digital registries of health facilities.

Public expenditure on healthcare, though, left much to be desired. Allocation for the National Health Mission was increased by only 1 per cent to Rs 37,000 crore for 2022-23. "The budget is silent on increase in public expenditure on health, which is a critical reform for improving healthcare access across India," says Vishal Bali, executive chairman of Asia Healthcare Holdings, an operating and investment platform focused on single specialty healthcare.

According to Dr Guru N. Reddy, chairman & MD, Continental Hospitals, Hyderabad, India has been underfunding healthcare for long. "Any allocation less than 3 per cent of GDP at this juncture will be painfully suboptimal and we will continue to suffer. No developing nation has gone on to achieve developed status with a paltry budgetary allocation to health," he says. Reddy suggests that all national health missions be entrusted to experienced private bodies with a committee of distinguished healthcare leaders overseeing them for effective implementation.

The medical devices sector is disappointed that the government has not moved forward on promised reforms. "No measures were announced to help end the 80-85 per cent import dependence [for medical devices] and India's ever increasing import bill, currently at over Rs 46,000 crore a year," says Rajiv Nath, forum coordinator, Association of Indian Medical Device Industry.

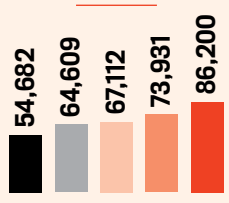
Given the rising healthcare costs, experts feel the government should bring more citizens under private insurance through subsidies for segments not under any state-run health scheme. For this, it needs to mandate businesses to provide insurance cover to employees. Industry experts put the number of Indians without health insurance at 560 million—over 40 per cent of the population. A GST rate cut on health insurance premiums and the granting of infrastructure status to health facilities, they say, can go a long way in boosting access to quality healthcare. ■

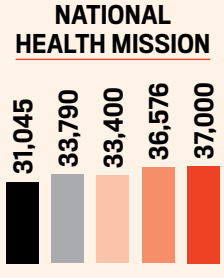
Graphic by TANMOY CHAKRABORTY

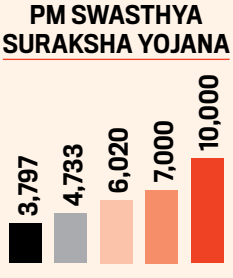
HEALTH SPENDS

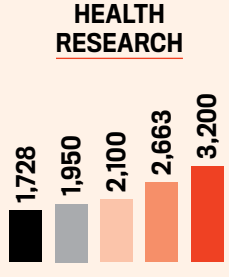
Public health expenditure (total of central and state spending) has remained between 1.2 per cent and 1.6 per cent of GDP since 2008-09, and there has been only a marginal increase year on year













Actuals FY19 RE FY20 BE FY21 BE FY22 BE FY23

BE: Budget estimate; RE: Revised estimate; all figures in Rs crore; Source: Budget documents